

Guide to starting a business

Setting up your own business is exciting, but can also be challenging if you're not prepared. This guide will take you through each step of starting a business and help you understand what's ahead.

Before you start

✓ Check if you're ready

Starting a business requires a lot of effort and commitment. It's important to know what's involved and if you're suited to business and self-employment.

We recommend you take some time to critically evaluate yourself and the challenges of owning a business. See if [you're ready to start a business](#).

✓ Analyse your business idea

It's important to research and analyse your business idea and consider its potential.

Some questions to ask yourself are:

- Is there a want or need for your product or service?
- How hard will it be to develop your idea?
- Is your idea financially viable?
- How will you protect your idea?
- Who are your competitors?

Researching your business idea involves gathering, analysing and evaluating information to that will also help you write your business goals.

✓ Do you have a business or a hobby?

Work out if your activities are that of a business or a hobby. There are different tax, insurance and legal obligations depending on what you are.

If you are unsure, read our information on the [difference between a business and a hobby](#).

1. Make key decisions

The decisions you make early on can affect many areas of your business, including the licences you need, how much tax you pay and the volume of paperwork required.

Required

Decide on a business structure

Choosing a structure for your business affects your tax, paperwork and finances, so it's important you get it right. Consider getting expert advice to help you.

[Business structures](#)

Required

Are you an employee or contractor?

If you're working on your own you'll need to know your worker status. Find out if you're an independent contractor or an employee before entering into a contract.

[Employee or contractor?](#)

Recommended

Choose your business location

Each business has different needs for storage, equipment, or just being close to the right customers. Consider what's important for your business before you decide where you'll be based.

[Choose your business location](#)

Recommended

Choose a business name

There may be more to choosing a business name than you think. Consider whether the name is unique, available to use or exists as a protected trade mark before you decide.

[Choose a business name](#)

2. Plan your business

You've analysed your idea and yourself. Next you can plan your future and see how it all comes together.

Required

[Develop your business plan](#)

[Planning out your business gives you direction and keeps your business on track. You'll also need a business plan if you seek finance.](#)

[Develop your business plan](#)

Required

[Create your risk management plan](#)

[Having a good risk management plan in place will help guide the business decisions you make and reduce the impact of unexpected events on your business.](#)

[Assess and manage risk](#)

Recommended

[Write your marketing plan](#)

[Need to tell everyone about your new business? A marketing plan can help you find and reach your customers and work out what makes your business different.](#)

[Develop your marketing plan](#)

Recommended

[Develop your export strategy](#)

[If you're going to sell your goods or services overseas, make sure you plan ahead. An export plan can help you discover new markets and the best way your business can operate in them.](#)

[Exporting and your business](#)

3. Help for your business

Find resources to help you with your business, from general business advice to finance assistance and support for your mental health and wellbeing.

Recommended

[Find help for your business](#)

[Need help? Talk to a business adviser, accountant or solicitor for advice. Try one of our low-cost business advisory services.](#)

[Get help for your business](#)

Recommended

[Find resources to help with your business finances](#)

[Financial advisers, accountants or bookkeepers can help you get your finances on the right track.](#)

[Support for your business finances](#)

Recommended

[Get support for your mental health and wellbeing](#)

[Being a business owner can be stressful. Find services, resources and information to look after your own and your employees' mental health and wellbeing.](#)

[Mental health and wellbeing support for business](#)

4. Register your business

To make it official, you'll need to register. This makes sure your business gets taxed at the right rate, avoids penalties and protects your brand and ideas.

Required

[Australian business number \(ABN\)](#)

[An Australian Business Number \(ABN\) is unique to your business. Customers, suppliers and the Australian Taxation Office \(ATO\) use this number to help identify your business. An ABN is free to register.](#)

[Register for an Australian Business Number \(ABN\)](#)

Required

[Business name](#)

[A business name helps your customers identify your business from others. If your business name is different to your own name, you'll need to register it.](#)

[Register your business name](#)

Required

Tax registrations for your business

Not all taxes will apply to your business. It depends on the type of business you're starting, your activities and turnover. It's best to work out what taxes you need to register before you start your business.

[Tax registration for your business](#)

Required

Licences and permits

From zoning laws to a food licence, the licences and permits you need will vary. They often depend on the location of your business and the industry you're in.

[Register licences and permits](#)

Required

Company

A company is a legal entity in its own right. If you've decided a company is the right business structure for your business, you'll need to register.

[Register a company](#)

Recommended

Trade mark

Protect your business name and brand from being used by others by registering it as a trade mark.

[Trade mark](#)

5. Prepare your finances

It's essential to take charge of your business finances and know how to manage your cash flow. It could make or break your business. If you need help, consider speaking to a financial adviser.

Required

Learn how to organise your finances

Apart from having a business bank account, you'll need to know how to organise your finances. This includes managing cash flow, budgets, payments and invoices. Consider using a bookkeeping or finance system to help you.

[Set up your finances](#)

Required

Understand your finance options

Learn about the different finance options and how they relate to your business situation.

[Choose your funding type](#)

Required

Develop a pricing strategy

There's a lot that goes into setting a price for your goods and services. Use the calculations and strategies available to help set your prices so you don't sell yourself short.

[Develop a pricing strategy](#)

Required

Learn about invoicing and payments

An invoice allows your customers to pay you for your goods and services and for you to provide them with a record of their purchase. Work out the type of invoice you will need and what to include in your invoices.

[How to invoice](#)

6. Know the law

Finding out your business isn't entirely above board can cost you time and money. Start off strong by setting up and protecting your business legally. Consider speaking to a legal professional to help you along the way.

Required

Learn the legal essentials for business

There may be different laws that apply to your business activities, like leasing a property or handling private data. Keep on top of these laws to make sure your business stays legal.

[Legal essentials for business](#)

Required

Understand fair trading laws

Fair trading and consumer laws protect you, your business and your customers. Find out how you can make sure you protect your rights and those of your customers.

[Fair trading laws](#)

Required

Understand contracts

When you agree to do a job for another person or business, you're likely to be entering into a contract. Find out what makes a contract fair and what laws there are to protect you.

[Understand contracts](#)

7. Protect your business

You invest too much time and money in your business to lose it. Protect your investment by planning ahead.

Required

Manage work health and safety

As a business owner you are responsible for managing health and safety for you and your employees in the workplace.

[Work health and safety](#)

Required

Understand business insurance

Insurance can help protect your business and your employees against the worst of situations. Find out which types of insurance are essential for your business and those you may want to consider.

[Business insurance](#)

Recommended

[Prepare your business for an emergency](#)

[Planning ahead for what to do in an emergency can strengthen your business and help it recover quicker. To get started, see how you can protect your business assets and establish your emergency procedures.](#)

[Prepare your business for an emergency](#)

Recommended

[Protect your Intellectual Property](#)

[Have a unique business idea and don't want it getting into the hands of the competition? See how Intellectual Property \(IP\) can help protect your ideas here and overseas.](#)

[Intellectual property](#)

Recommended

[Protect your business from cyber threats](#)

[Whether your business is mostly online, or you just use an online system to store your customer information, make sure you have measures in place to keep your business and data safe.](#)

[Cyber security checklist](#)

8. Prepare for tax

Getting on top of your taxes now can make things easier in the long run. It can help you avoid penalties and make sure your business is taxed at the correct rate.

Required

[Keep the right records](#)

[A good record keeping system can help you get on top of your records. It can also help you track your progress and seek finance if required.](#)

[Record keeping](#)

Required

[Understand taxation for your business](#)

[Understanding tax requirements helps make sure your business is taxed correctly and avoids penalties. Get an overview of record keeping, registering for taxes and your options for paying tax.](#)

[Taxation for your business](#)

Required

[Learn how to lodge and pay for tax](#)

[How you lodge your tax will depend on your business structure. Find out what you need to lodge and if a Business Activity Statement \(BAS\) is needed.](#)

[Lodge and pay tax](#)

9. Set up operations

Setting up your business operations properly will save you trouble in the long run, and give you more time to focus on running your business.

Required

[Learn about hiring employees](#)

[You can't always run a business on your own. If you're planning on hiring, make sure you know the steps you need to take and your legal responsibilities.](#)

[Hiring employees checklist](#)

Recommended

[Manage your suppliers](#)

[Are you selling products and need a supplier? See what you should consider when looking for a quality supplier and where you can search for them.](#)

[Suppliers](#)

Recommended

Consider going online

Taking your business online can provide new opportunities and benefits to your business. Look at ways you can set up your business's online presence, from simply having a social media presence to using e-commerce to sell your products and services to online customers.

Ecommerce (selling online)

10. Market your business

Promote your business and brand to your target audience to grow your customer base.

Recommended

How to market your business

Working out your business's market position will help you to build your business brand, find your target audience and focus on your customers' needs.

Business marketing

Recommended

Communicate with customers

Providing good customer service is not just for when a customer buys from you. Find out what customer service skills you'll need to create customer satisfaction and loyalty.

Communicate with customers

Recommended

Set up a business website

Thought about having a website for your business? If you want it to match your business name, consider registering your web address as early as possible.

Set up a business website

Recommended

Establish your brand

Your business's brand can help you connect better with your customers and help them differentiate you from your competition.

Marketing

Recommended

Plan your social media presence

A well planned and managed social media presence can help you market your business and connect with your customers.

Social media for business